

Article | 7 August 2026

UNITED STATES

Surprise US job weakness casts serious doubt on Fed rate hikes

The US lost jobs in July and while the unemployment rate fell, it was for bad reasons. Rate hike expectations have declined, but there is a lot happening before the 16 September FOMC meeting



Construction was one of the few bright spots in an otherwise weak US jobs report for July

-23,000 US jobs lost in July

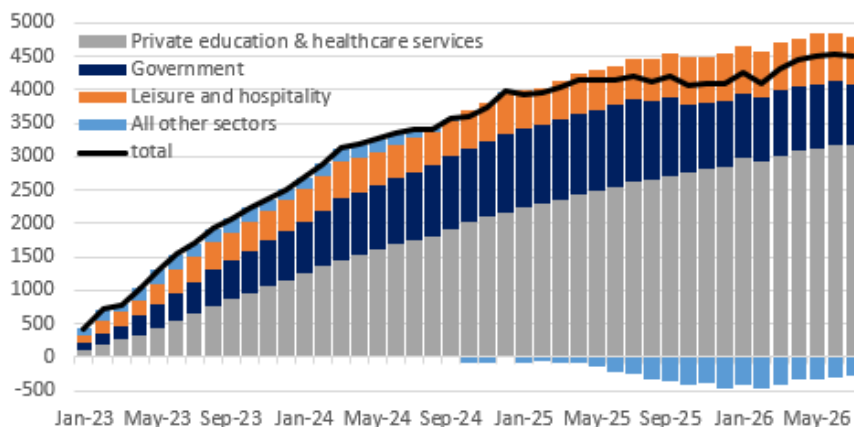
Employment fall highlights corporate caution

The US jobs report for July was surprisingly weak, with payrolls falling 23k while there were 103K of downward revisions to the past two months' data, leaving the 3M average at 20,000. The unemployment rate fell to 4.1% from 4.2%, but not for good reasons. It was primarily because of a further drop in the participation rate – unemployed people leaving the workforce entirely. Average hourly earnings growth slowed to just 3.2% year-on-year from 3.5%.

In terms of payrolls details, the leisure and hospitality sector lost 40k jobs, which may reflect the conclusion of the FIFA World Cup, but we had also seen a 43k drop in June when it was in full swing. The financial sector lost 14k roles while retail lost 19k. The offsetting strength was in

construction (+22k) and, as usual, private education and healthcare services (+25k). The chart below shows the cumulative job creation since December 2022 and indicates that, after a decent March and April, we have reverted to the very weak trend experienced from January 2025-February 2026.

Cumulative increase in US employment since December 2022 (000s)

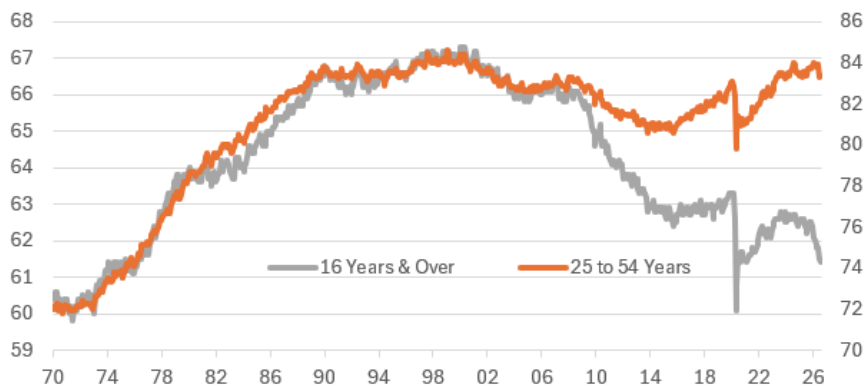


Source: Macrobond, ING

Disengagement drives a fall in participation

Regarding the drop in the unemployment rate and why this isn't the great news it seems, we have to look at the participation rate. It fell to 61.4%, which, outside the pandemic, we must go all the way back to the mid to late 1970s to find a lower reading. A quarter of a million people left the labour force last month. Within that, the number of people classifying themselves as employed fell 87k while the number of people classifying themselves as unemployed fell 178k. Therefore, the fall in the unemployment rate was caused by disengagement rather than for any positive reason. You can see that the participation rate has fallen by more than a full percentage point over the past year. If it had held steady, we would have a US unemployment rate in excess of 5%, and we would not be talking about a possible September rate hike from the Federal Reserve.

Labour force participation rates



Source: Macrobond, ING

What it means for the Fed outlook

Reaction has been significant, with 2Y yields down 8bp and the dollar softening, while Fed funds futures contracts are now only pricing 10bp of a potential 25bp hike on 16 September. Today's outcome supports our call for a prolonged pause from the Federal Reserve, but remember that ahead of the September FOMC meeting we have a further jobs report, two inflation prints and the Federal Reserve's Jackson Hole Symposium.

In terms of jobs, we would tentatively suggest a rebound is possible for August, but the Fed's decision is more likely to come down to what happens on inflation. We expect next week's July CPI expected to show headline prices rising 0.1% month-on-month and core prices rising 0.2%. Cooling housing-related inflation should pull the shelter CPI component lower, while weak wage growth and tariff refunds provide a cash flow boost to US companies, which should all help offset higher costs elsewhere. Assuming we get a deal to reopen the Strait of Hormuz, that can feed through into lower gasoline prices and keep the disinflation trend in place through to year-end and beyond.

While nine members of the FOMC suggested in June they think the Fed will have to hike rates, nine said they didn't (plus, presumably, Kevin Warsh). Now of the nine that think they will hike, we strongly suspect only three are voters this year, and they are already voting for a 25bp hike. That would, in theory, mean to deliver a rate hike, we would need to see inflation come in hotter than the nine who didn't think they would need to hike were anticipating. Given we are expecting encouraging news on disinflation, we are consequently expecting the Fed to remain on hold well into 2027.

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Article | 5 August 2026

Stablecoins 101: Uncertain growth but the stakes are high

Stablecoins saw significant growth in 2025, drawing attention from issuers and regulators alike. Still, their long-term prospects remain uncertain. In the first article of our new series, we explore what stablecoins are, what could drive adoption, and why their future matters



Despite a sharp expansion, stablecoins now account for only about 7% of the broader crypto market

Executive summary

Stablecoins have seen significant growth over the past few years, reaching nearly US\$300bn in market capitalisation at the end of 2025. This rapid expansion has come with heightened attention from both regulators and potential issuers. However, the future of the crypto asset remains uncertain as further growth depends on whether it can develop beyond the crypto-landscape and expand into the broader payment world.

In our view, part of the path to becoming a broadly adopted instrument depends on the presence of a regulatory framework and interoperability with existing payment systems. However, estimating the future growth of stablecoins is difficult, as it requires predicting their relative attractiveness compared with alternative payment systems such as central bank digital currencies and tokenised deposits in a rapidly evolving

market.

While the jury is still out on how widely stablecoins could be adopted, it is important to consider a scenario in which uptake becomes significant, as this could have serious implications for financial stability, the banking sector, emerging markets, and monetary policy.

Despite the growing attention, many questions remain about what stablecoins are, how they work, and what role they could ultimately play in the financial system. In this piece, we explain the fundamentals of stablecoins, review recent market and regulatory developments, and explore the factors that could shape their future adoption. While the market is evolving quickly, their long-term prospects remain highly uncertain. Their eventual role in payments and savings will depend not only on regulation but also on whether they can compete with existing and emerging forms of digital money. In future publications, we will examine the implications of broader stablecoin adoption in more detail.

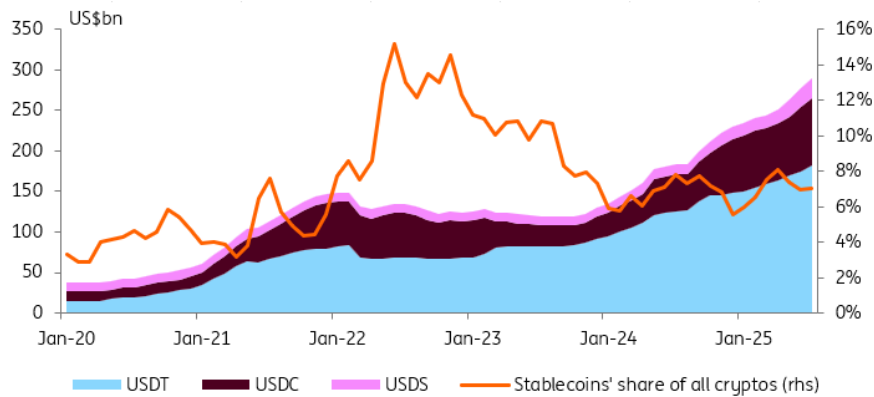
What are stablecoins?

Stablecoins are crypto assets issued by private institutions that promise a stable nominal value in a given currency, commodity or pool of assets. They are not issued or backed by a government or central authority but rather by a private institution and secured by segregated reserves. The crypto asset is issued on a Distributed Ledger Technology (DLT) (i.e. a blockchain) with three existing types of pegging mechanisms:

1. **Fiat-collateralised** stablecoins: backed 1:1 by reserves of cash or liquid assets. These are the most common and utilised type of stablecoin, currently representing over 90% of all stablecoins. We will focus on these in this piece.
2. **Crypto-collateralised** stablecoins: backed by over-collateralised crypto assets. The issuance of these stablecoins tends to be restricted by regulations such as the EU's Markets in Crypto-Assets Regulation (MiCAR).
3. **Algorithmic** stablecoins: not backed by real assets, but the peg to the chosen currency is maintained by a dynamic adjustment of the token's supply using algorithms or "smart contracts". Following the crash of the Terra project in 2022, algorithmic stablecoins now represent only a fraction of all stablecoins.

The total market capitalisation of stablecoins has surpassed US\$300bn globally, 99% of which is USD-pegged tokens. While still dwarfed by bank deposits, the rapid growth of the sector over the past five years (up by \$250bn) has drawn considerable attention. Despite the sharp expansion, though, stablecoins now account for only about 7% of the broader crypto market, a decline from their 2022 peak, as the market capitalisation of other cryptocurrencies has grown even faster.

Selected stablecoins' market capitalisation over time & share of all cryptocurrencies

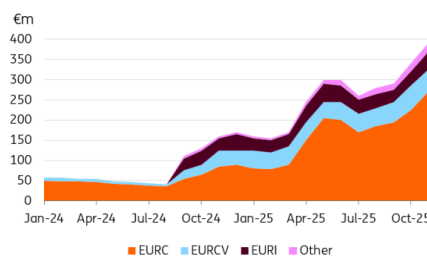


Source: ING Research, IMF / USDT = Tether, USDC = Circle, USDS = Sky Protocol

Euro-pegged stablecoins still only represent a fraction of all stablecoins in use, but their market capitalisation grew from €50m in early 2024 to nearly €400m at the end of 2025. Euro stablecoins remain in their infancy, accounting for only about 0.3% of the global stablecoin market despite recent progress.

Euro-pegged stablecoins remain at a nascent stage

Euro-pegged stablecoins' market capitalisation over time



Market capitalisation of stablecoins across currencies



Source: ING Research, ECB / EURC = Euro Circle, EURCV = Coinvertible, EURI = Eurite

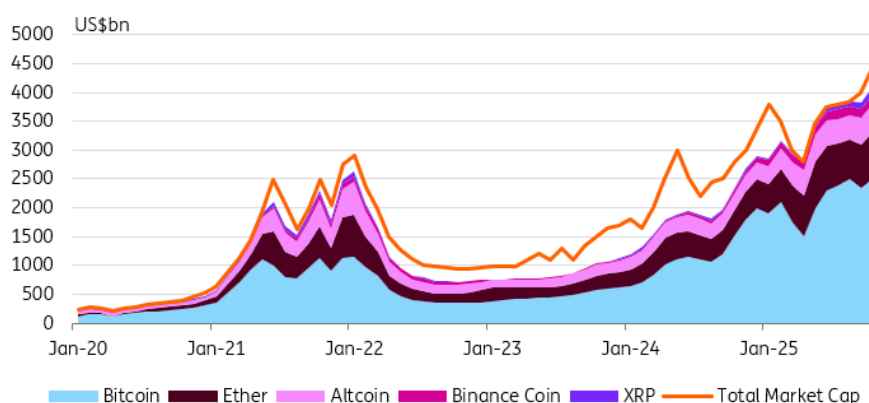
Available data shows that the use of stablecoins remains limited in the larger frame of global payments. Yet the sector's very rapid development over the past years suggests that could change. The new digital currency is forecast to grow exponentially, reaching anywhere between \$900bn and \$4.2tr by 2030. The wide variation in projections underscores just how hard it is to forecast the trajectory of stablecoins over the coming years. Indeed, **stablecoins' growth will depend on several factors: the regulation in place, interoperability with existing payment systems and, importantly, their use cases and relative attractiveness versus other payment systems (new or existing).** The next section delves into other technologies that could influence the growth (or lack thereof) of stablecoins.

How do stablecoins differ from other digital & crypto currencies?

Unbacked cryptocurrencies

Stablecoins are a form of crypto asset, but they differ from other cryptocurrencies by holding segregated reserves designed to maintain a one-to-one value with a chosen reference currency. This is not the case for “real” cryptocurrencies that are also issued and transferred using Distributed Ledger Technology (DLT) but not backed by liquid assets. These unbacked cryptocurrencies are, therefore, much more volatile and used mainly for investment and speculative purposes. Taken together, cryptocurrencies’ market capitalisation reached nearly \$4500bn at the end of 2025, about three times the level in early 2024.

Selected cryptocurrencies market capitalisation over time



Source: ING Research, IMF

Beyond stablecoins and unbacked cryptocurrencies, a new wave of digital currencies is gaining traction among both prospective issuers and regulators.

Tokenised assets

Tokenised assets are digital representations of real-world assets on a distributed ledger infrastructure. A wide range of underlying assets can be tokenised, including securities, bank deposits, and real estate.

Tokenisation is increasingly being explored for bank deposits, where the deposit itself is represented, stored, and issued on a DLT. Each token corresponds to a direct claim on a regulated commercial bank and remains on that bank’s balance sheet. Unlike stablecoins, tokenised deposits do not circulate as bearer instruments but are tied to identified account holders.

The usage of tokenised deposits currently remains limited and mostly experimental. However,

tokenised deposits can modernise payment and settlement infrastructures, as well as intragroup liquidity management. They promise faster settlement (near-instant, in fact), 24/7 transactions, programmability, and lower operational frictions (reducing reliance on multiple intermediaries). Tokenised deposits also offer regulatory advantages, as they remain fully within the existing supervisory framework; the underlying assets stay on commercial banks' balance sheets, preserving the same oversight and prudential standards applied to traditional deposits.

Central Bank Digital Currencies

Central Bank Digital Currencies (CBDCs) are digital forms of money that allow users to pay each other using a direct claim on the central bank. In other words, it aims to reinvent central bank money (cash and coins) in a digital form. CBDCs are often compared and opposed to stablecoins, but the main difference is their direct claim to the central bank. They are issued and maintained by the central authority, often but not systematically using DLTs.

CBDCs can be built for retail or wholesale use (for interbank settlements and large-value transfers). Only a few CBDCs are currently in use in the world (Bahamas, Jamaica, Nigeria and China with a large-scale pilot). But over 100 countries have projects to develop their own digital currency. This includes the EU, which is currently developing its own retail CBDC (the digital euro) and aiming for a 2029 launch. Read more on this in our piece [*The digital euro is making progress, European banks should pay attention.*](#)

In addition to the digital euro, the EU is looking at developing a wholesale DLT settlement strategy. The near-term project 'Pontes' will leverage existing T2 infrastructure and provide immediate central bank money settlement. It's expected to be launched in 3Q 2026. The European Central Bank also plans a full DLT-based wholesale CBDC ecosystem under the 'Appia' initiative, with a blueprint expected in 2028.

To summarise the four digital currencies discussed, the table below highlights the key differences across their main attributes.

Currencies comparison table

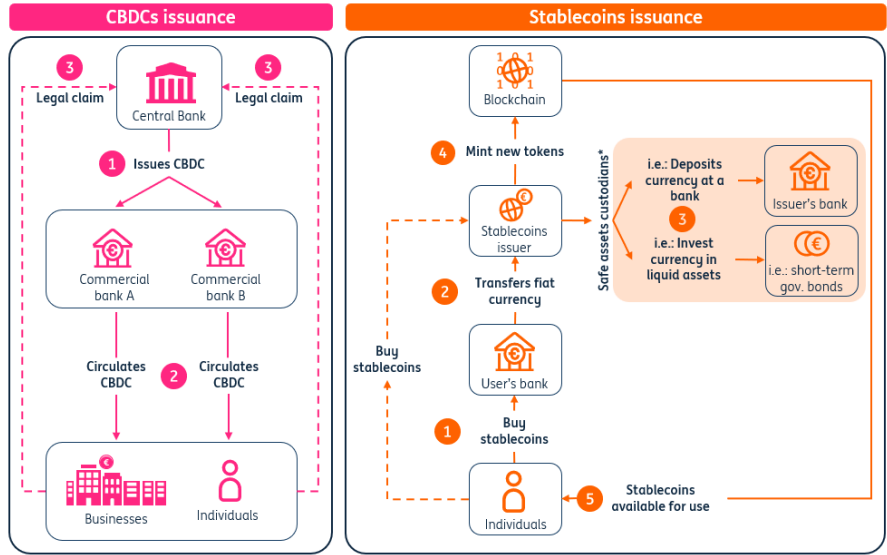
	Stablecoins	CBDCs	'Real' cryptos	Tokenised deposits	Bank deposits	Cash
Digital	✓	✓	✓	✓	✓	✗
Public	✗	✓	✗	✗	✗	✓
Blockchain use	✓	~	✓	✓	✗	✗
Programmable	✓	~	✓	✓	~	✗
Use without intermediaries	✓	~	✓	✗	✗	✓
Large price volatility	Limited by pegging mechanism	✗	✓	✗	✗	✗
Means of payment role	✓	✓	Not in the wider economy	✓	✓	✓
Unit of account role (used for invoicing)	✓	✓	Not in the wider economy	✓	✓	✓
Store of value role	Potential, especially if remuneration allowed	Not if implementation of holding limits	✗	Linked to real-world bank deposits	✓	✓
Regulation	Fragmented	National	Fragmented	✓	✓	✓

~ Possible ✗ No ✓ Yes

Source: ING Research

Both stablecoins and CBDCs aim to create a more digital and efficient means of payment, yet they are often portrayed as competing alternatives. Despite this, the two forms of digital money differ significantly. Their key differences can be illustrated through their issuance models, shown in the flowchart below.

CBDCs versus stablecoins issuance flow



Source: ING Research *examples of safe asset custodians, can vary depending on the regulation in place

The approach to stablecoins and CBDCs varies across the globe, with notable differences between the US and Europe. The transatlantic divide became increasingly apparent in the summer of 2025, when the US moved to support dollar-backed stablecoins while prohibiting the issuance of a CBDC. Europe has taken a different approach, arguing that a CBDC, the digital

euro, would enhance regulatory oversight through issuance and supervision by the European Central Bank.

Given the starkly different political approaches across jurisdictions, stablecoins are likely to evolve as primarily domestic or regional instruments, a dynamic that could shape and, potentially, constrain their overall growth potential.

For stablecoins to become systemically important, their use needs to extend beyond the crypto ecosystem into the broader, global, payments world. However, political positions are already signalling resistance to a global (dollar-pegged) stablecoin, with policymakers instead encouraging the development of multiple domestic stablecoins denominated in local currencies.

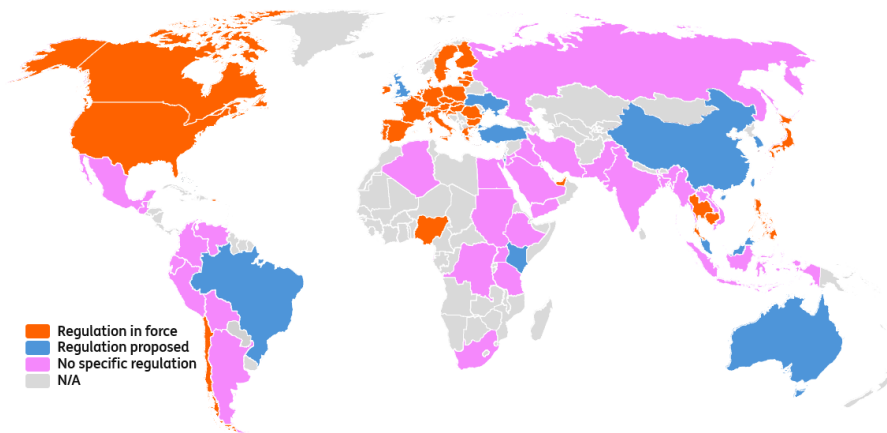
The absence of regulatory harmonisation reinforces this trend. Stablecoin issuers must adapt to each jurisdiction's rules, limiting cross-border scalability and undermining the emergence of a single dominant global stablecoin. The next section outlines the regulatory divergences across the US, EU, and UK.

Large regulatory differences and crucial remuneration uncertainty

Currently, 12 countries have stablecoin regulations in force, and another 10 have proposed texts that are not yet approved. The strongest stance against the issuance of stablecoins comes from China, where they're banned. This partly stems from the government's push for its CBDC; stablecoins are therefore viewed as direct competition.

The main laws are in place in the trading hubs, while other markets still lack specific stablecoin and crypto asset regulations. Despite recent developments at the national or regional level, there's an absence of international harmonisation and coordination on the topic.

Distribution of current stablecoin regulations worldwide



Source: ING Research, Visual capitalist

Because of the lack of international harmonisation on stablecoin oversight, existing regulatory frameworks diverge in several ways. The most important difference concerns the management of the safe assets. Indeed, issuers face various types and levels of restrictions for the segregated reserves. This could influence stablecoins' potential impact on the financial system.

Under US regulation (GENIUS Act), issuers must hold at least \$1 of permitted reserves for every \$1 of stablecoins issued. Permitted reserves include (but are not exclusively) cash, deposits held at commercial banks, short-dated treasury bills and other similar government-issued assets approved by regulators. The absence of specific limits or thresholds on each of these options gives USD-stablecoin issuers a relatively large degree of freedom to allocate their reserves.

This isn't replicated in the European legislation. MiCAR sets stricter requirements for E-Money institute issuers. These institutions (if systemic) are required to hold at least 60% of the safe assets as commercial banks' deposits (30% if non-systemic issuers). They're allowed to hold 40% of their reserves in liquid government bonds (70% if non-systemic issuers).

While the UK is still drafting its final stablecoin regulatory framework, the latest proposal includes restrictions on reserve investments. For systemic issuers, the Bank of England proposes prohibiting the use of commercial bank deposits and requiring that at least 30% of backing assets be held as non-remunerated central bank deposits. The remaining 70% could be invested in short-term government debt. The central bank argues that allowing commercial bank deposits as backing could introduce financial, operational, and contagion risks that could amplify a stress across the sector. Additionally, the UK is the first country to propose a temporary issuance guardrail for systemic issuers, limiting the amount of stablecoins issued to £40bn per issuer for an unspecified temporary period.

While myriad other divergences exist, we also note one convergence between the US, EU and UK regulatory frameworks: the ban on remuneration distribution. All three regimes prohibit stablecoin issuers from paying interest to holders. In the US, where broader crypto market legislation is still under negotiation, this restriction is heavily debated and could ultimately be revised.

Interest payments by stablecoin issuers remain prohibited in most jurisdictions. This restriction is central to the regulatory architecture, as it directly shapes stablecoins' appeal as a store of value and influences both adoption dynamics and its potential footprint in the broader financial system.

The table below summarises the main differences between the three regulatory frameworks. Read more on the various regulatory frameworks in the footnotes.

Summary of the US, EU and UK stablecoins regulatory frameworks

		US ¹ Genius Act	EU MiCAR		UK ² Regulation	
			E-money institute	Credit institution	Non-systemic issuers	Systemic issuers
1.	Access to central bank, lender of last resort	Case-by-case Fed decision	Forbidden	No restrictions		Bank of England considering backstop facility
	Central Bank deposit	Case-by-case Fed decision	Forbidden	Allowed	Allowed	Required i) ≥30% of assets; ii) upremunerated
2.	Asset investment policy					
	Commercial bank deposit	Allowed upper limit to be specified	Required ≥60% of assets (≥30% if non-systemic)	Allowed	Allowed	Forbidden
	Government bonds	Allowed ≤3m maturity	Allowed <40% of assets (<70% if non-systemic)	Allowed	Allowed	Allowed <70% of assets
3.	Stablecoins remuneration	Forbidden for issuer only	Forbidden for issuer and crypto-asset service providers (CASP)	Forbidden for issuer and CASP	Forbidden for issuer	Forbidden for issuer
4.	Issuance guardrail	None	None	None	N/A	Temporary £40bn

Source: ING Research, Fed, European Commission, BoE

1 US has three license levels: for a) bank and b) non-banks at federal level, and c) one at state level for smaller institutions. 2 Proposed UK-regime based on June 2026 proposal in Bank of England consultation

...driving the key uncertainty on stablecoins' uptake

Stablecoins' rapid growth over the past few years, in association with the lack of regulation, has raised concern for central banks across the world. Depending on future growth and use cases, stablecoins could have a significant impact on financial stability. For this to materialise, stablecoin use and adoption would have to go beyond the niche crypto-ecosystem and extend to the payment landscape.

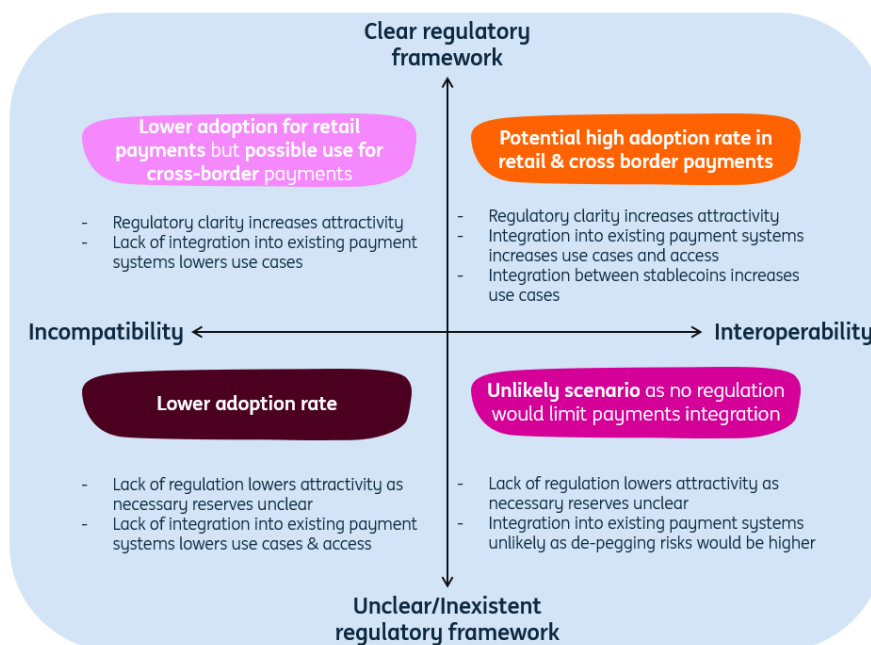
While stablecoins have grown significantly over the years, they are not currently "broadly

adopted". Currently, there's no set threshold determining what would constitute this broad adoption. Furthermore, the development of the crypto asset over the next few years remains unclear. In our view, the adoption uptake would depend on its use for two things:

- Payments
- As a store of value

Starting with the use of stablecoins in payments, there are three main variables. The first two factors are the presence of a regulatory framework and the degree of interoperability between stablecoins and existing payment systems. Mapping these variables produces a quadrant that illustrates four potential development paths for stablecoins.

Potential development of stablecoins in retail payments



Source: ING Research

A scenario with both a clear regulatory framework and full integration of stablecoins into existing payment systems would provide fertile ground for meaningful adoption in payments. However, the extent of such uptake depends on the third variable: the attractiveness of other payment systems (new and existing ones).

The existence and development of alternatives such as tokenised deposits and central bank digital currencies might limit the relative attractiveness of stablecoins. Even though payment systems in Europe remain relatively cheap and fast, that experience is far from universal internationally. For regions where payments are costly and slow, introducing new technologies such as tokenisation into existing systems could allow them to rapidly close the gap with the

advantages stablecoins offer, and potentially emerge as direct competitors to the crypto asset.

There is also a potential political push toward adopting central bank digital currencies, a dynamic relevant not only for jurisdictions with high payment costs but for the EU as well. The digital euro has become a central topic in the 'strategic payment autonomy' discussion and could directly compete with stablecoins for day-to-day payment use.

When it comes to the use of stablecoins as a store of value, a significant uptake would depend on two points:

- Whether direct remuneration by stablecoin issuers is allowed. The current ban on direct remuneration in major jurisdictions does little to support the use of stablecoins as deposit-like instruments, except in countries where real interest rates are negative. However, we can't exclude regulatory changes in coming years, especially as the topic is currently under discussion in the US with the upcoming Clarity Act. Read more on this in our regulatory footnotes below.
- The interest rate level paid on alternative deposit accounts (such as traditional bank deposits), as stablecoins could become more of a competitor to traditional deposit accounts in an environment where interest rates are zero or close to zero (which has been the case in the EU in recent years and is still the case in the US).

Only if, and with the right combination of these factors, could we foresee the adoption of stablecoins growing significantly to become broadly adopted. Yet, at present, it remains difficult to estimate the direction the crypto asset will follow in the years ahead.

Potential implications of stablecoins

Although stablecoins are not yet widely adopted and their future trajectory remains hard to pin down, our forthcoming articles will explore a scenario in which they scale enough to become a meaningful payment system. We see this as a necessary exercise: broad stablecoin adoption could carry significant and far-reaching implications for the financial system – spanning the banking sector, emerging market stability, safe asset demand, monetary policy transmission, and even geopolitical and cyber-risk dynamics.

Indeed, research has found that upon broad adoption, stablecoins could drive significant changes in banks' funding. Depending on the required reserves, this could translate into either a net drop in retail deposits or a switch from retail into wholesale deposits (as MiCAR requires stablecoin issuers to hold part of the reserves in EU commercial banks). Overall, it could make banks' funding structure more volatile as wholesale deposits are known to be less steady funding sources than retail ones (which are rarely moved across institutions). Also, wholesale deposits are costlier to hold for banks as the regulation imposes higher capital requirements, reflecting their higher volatility and general risk level.

Stablecoins could also have implications in emerging markets through currency substitution. It could amplify depreciation pressures under stress episodes by lowering friction around moving local currency into USD stablecoins. Countries with weak monetary credibility (i.e. high inflation, low interest rates) make stablecoins an attractive store of value and payment means, even outside stress episodes. The outflow to stablecoins could further undermine monetary policy transmission.

USD stablecoins also have the potential to boost demand for short-term US treasuries as issuers look for safe asset reserves. In principle, quick changes in transaction-driven demand could then amplify volatility in rates under a stress scenario. The proliferation of stablecoins (regardless of the currency) may also shift the composition of the overall monetary base with an asset reallocation from bank deposits into treasury/government bonds. This means potentially weaker monetary policy transmission through both the credit and interest rate channels.

While all these points remain theoretical implications of stablecoins, regulators are increasingly concerned and estimates on those impacts are developing. In future reports, we aim to contribute to the growing body of literature on this subject by diving deeper into each of these potential implications, seriously considering a scenario where stablecoins become a broadly adopted payment system.

Stablecoins are growing but the jury is still out on how big they'll get

Over the last few years, the market capitalisation of stablecoins has grown significantly, attracting the attention of both potential issuers and regulators across the globe. However, when it comes to the development of the crypto asset, it remains difficult to estimate an exact path. In our view, the growth of stablecoins in the coming years could be limited or strong depending on their uptake in both payments and as a store of value. Part of this growth to become a “broadly adopted” instrument depends on the existence of a regulatory framework and the interoperability with existing payment systems. The difficulty in estimating stablecoin growth comes from predicting the relative attractiveness versus alternative payment systems (new or old) as the sector quickly evolves.

It's important to consider a scenario where the use of stablecoins increases significantly, as this could have serious implications for financial stability, the banking sector, and emerging markets, as well as monetary policy. Therefore, in our upcoming series of articles, we will dive into potential impacts in more depth, starting with the implications of “broadly adopted” stablecoins for financial institutions.

Regulatory footnotes

The United States' GENIUS Act

Adopted in July 2025, the Guiding and Establishing National Innovation for US Stablecoins Act (GENIUS Act) establishes a regime to regulate US payment stablecoins. Despite the enforcement starting in January 2027, the mere adoption of the GENIUS Act had an immediate effect on USD-denominated stablecoins, with net stablecoin creation growing from about \$10bn in 2Q25 (before the regulation) to over \$45bn in 3Q25, a 324% increase in just a couple of months.

The regulation permits stablecoins to be issued by banks, credit unions and certain non-bank entities (although non-bank issuers are limited to financial firms unless the Stablecoin Certification Review Committee (SCRC) unanimously determines that they do not pose a risk to the banking or financial system).

Issuers face tailored capital, liquidity, and risk management rules but are not subject to the regulatory capital standards for “traditional” banks. Banks issuing stablecoins are regulated by the Federal Reserve, while non-banks fall under the Office of the Comptroller of the Currency (OCC) oversight.

Aside from permitted issuers, the GENIUS Act also clarifies stablecoin requirements. **Issuers must hold at least \$1 of permitted reserves for every \$1 of stablecoins issued.**

Permitted reserves include (but are not limited to) USD cash, deposits held at commercial banks, short-dated treasury bills and other similar government-issued assets approved by regulators.

Additionally, issuers of the digital currency must comply with several transparency and reporting requirements, including regular reporting on the reserve composition, and must run audits by public accounting firms. They are required to disclose the redemption procedures and comply with the US Bank Secrecy Act as well as tailored Anti-Money Laundering and Counter-Terrorism Financing (AML/CTF) rules.

The GENIUS Act also currently prohibits issuers from paying interest to stablecoin holders. However, the topic is open to discussion in the US as the proposed CLARITY Act (which aims to clarify the broader crypto asset regulatory landscape) could include the possibility for stablecoin issuers to distribute customer rewards.

The EU's Markets in Crypto-Assets Regulation (MiCAR)

MiCAR was adopted in 2023 and covers a wide range of crypto assets. The stablecoin rules gradually came into force through the end of 2024. They apply to both issuers and entities offering trading, custody, exchange and advisory on crypto assets. **MiCAR classifies crypto assets in three categories:**

- **Asset-Referenced Tokens (ARTs)**: stablecoins backed by a basket of assets such as fiat currencies or commodities
- **E-Money Tokens (EMTs)**: stablecoins pegged to a single fiat currency
- **Other crypto assets**: including decentralised cryptocurrencies and other tokens (not falling into the first two categories)

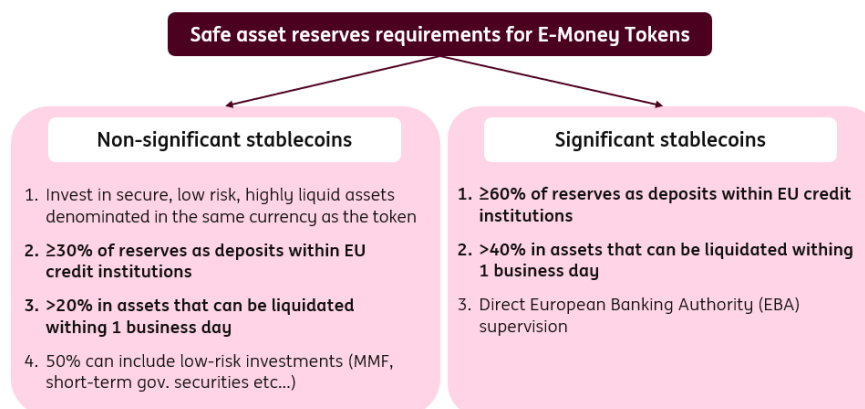
The regulation clarifies which entities are allowed to issue crypto assets in the Union, namely credit institutions and Authorised Electronic Money Institutions (EMIs). In addition, the EU differentiates cryptocurrencies by their size, including specific requirements for the largest assets.

Stablecoins are considered significant when (but not only):

- The **number of holders** is larger than **10m**
- The **value of the token** issued (market capitalisation or size of the reserve of assets) is higher than **€5bn**
- The **average number and transaction value per day** are higher than **2.5m and €0.5bn**, respectively

Under MiCAR, stablecoin issuers are required to have a legal entity established in the EU. The regulation sets out a list of requirements for stablecoins issued in the EU, starting with the prohibition on the distribution of interest on the tokens. It also establishes requirements for stablecoin reserves. For E-Money Tokens (EMTs) specifically, regulatory requirements differ depending on whether the issuer is classified as significant or not. The graph below summarises the safe assets requirements depending on the size of the stablecoin issuer.

MiCAR safe asset requirements per stablecoin issuer type



Source: ING Research, MiCA Regulation

Additionally, all issuers of stablecoins in the EU are subject to transparency and reporting requirements, including the publication of whitepapers on the token's functionality, risk and technology. Issuers must run quarterly stress testing and comply with the Union's AML/CTF

rules.

The UK's upcoming regulation

In June 2026, the Bank of England published a policy statement and draft rules for systemic stablecoin issuers. The BoE's approach to stablecoin regulation varies from existing frameworks as it plans to ban systemic issuers from holding part of their reserves with commercial banks.

The central bank argues that this decision is warranted by the financial, operational, and contagion risks that could arise between stablecoins and the broader financial system during periods of stress. This stance contrasts with the EU stablecoin regulation that requires issuers to hold part of their reserves as commercial bank deposits.

Issuers would therefore be required to hold at least 30% of the reserves in unremunerated BoE deposits and the remaining 70% in short-term UK government debt securities with a residual maturity of up to six months.

The draft rule sets aside the individual holding limit requirement announced previously and instead proposes a temporary issuance guardrail to mitigate risks to credit provision. Each systemic stablecoin issuer will be subject to an initial maximum issuance of £40bn. This limit would be reviewed, loosened and ultimately removed; the BoE doesn't include a timeline for such phasing out. If enforced as such, the UK would be the first country to officially regulate the amount of stablecoins issued, even on a temporary basis.

The proposal plans to require systemic stablecoin issuers to conduct an overall risk assessment to identify, monitor and mitigate risks. Additionally, it sets minimum capital requirements composed of six months of the issuer's relevant operating expenses or the cost of executing its recovery plan. It also requires notifying the central bank when its capital falls below 110% of the minimum requirements.

The Bank of England plans to install a statutory trust mechanism comprising two trusts: one to protect coinholders' interests and the other to cover the costs of returning value to them. Stablecoin issuers will thus be required to segregate the assets used for reserves and appoint third-party custodians to hold these. The proposal also includes a prohibition on the payment of interest and income to coinholders.

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Article | 4 August 2026

GERMANY

Low water levels are new setback for the German economy

Record low water levels in the Rhine could shave 0.3 percentage points off Germany's GDP growth this year



A heatwave in Germany has pushed Rhine water levels to record lows

Some might know that I used to be, and still am, a passionate rower. Rowing on Frankfurt's Main River is not always a pleasure. High water levels and strong currents in winter, combined with commercial river traffic throughout the year, do not make it an ideal place to train. That is, except when water levels are low.

For rowers, low water levels mean calm currents, flat water and very little traffic. Against this backdrop, I have witnessed the effects of climate change during the 12 years I have lived in Frankfurt: fewer periods of high water in winter and longer stretches of flat water in summer. Unfortunately, what has been good for my favourite hobby has become a clear risk for the German economy: low water levels.

Why the Rhine matters for German industry

Yesterday, my colleague Rico Luman [wrote about the impact of low water levels](#) in the Rhine and the consequences for supply chains. For Germany, however, the Rhine is not simply one transport option among many. It is a piece of industrial infrastructure around which much of German industry was physically built.

Roughly 285 million tonnes of freight move along the river annually, making it Europe's most

important logistics corridor after the open seas. It carries about 80% of all goods transported on Germany's inland waterways, while some 600 vessels cross the Dutch-German border every day. The corridor connects Rotterdam directly to three of Germany's largest industrial clusters: Rhine-Ruhr steel, Rhine-Main and the Ludwigshafen chemical complex.

This is no coincidence. The plants were built along the Rhine in the nineteenth century to benefit from barge transport and access to process water, and they have remained there ever since. When the Rhine runs low, the impact extends far beyond supply chains; it strikes at the heart of German industry.

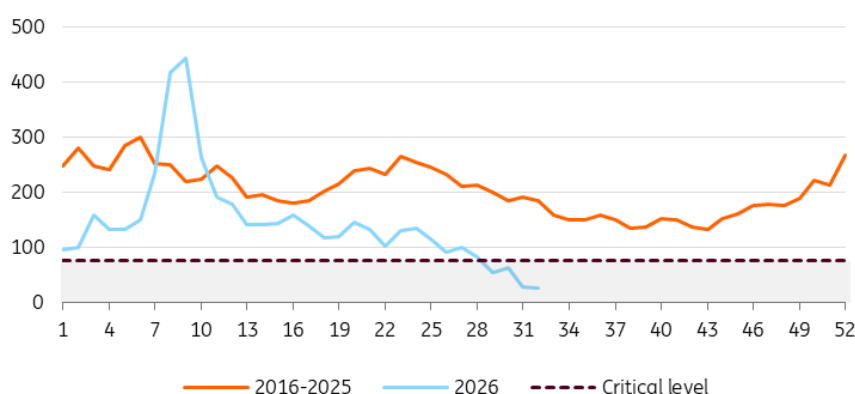
The Rhine's historic importance also means there are no real alternatives. Replacing a single barge can require up to 100 trucks or an entire freight train. And that's before taking into account Germany's well-known infrastructure challenges. Rail and road simply cannot provide a like-for-like substitute for Rhine transport. This is not to say that industry has not reacted to more frequent and longer periods of low water levels. Think of shallow-water barges and higher inventory levels.

Economic impact of low water levels

On Monday, the water level at Kaub fell to 24cm, the lowest level since records began in 1880. The last record low was 25cm in October 2018. This highlights how severe the current situation is. Normally, periods of low water occur between September and November, not in the middle of summer. Yet current forecasts for the next two weeks show little rainfall, suggesting that conditions are likely to worsen.

Water level in Kaub

(average per calendar week in cm)



Source: pegelonline.wsv.de

As the Rhine is home to crucial industries, the economic impact of supply chain constraints, and a potential reduction in production is much larger than the Rhine's c.6% share of total

German freight volume would suggest.

A 2020 Kiel Working Paper found that low water levels in the Rhine, particularly during the 2018 drought, affected the German economy through both transport and production channels. A full month of low water reduced inland shipping volumes by about a quarter, while industrial production fell by roughly 1%. Overall, the 2018 episode is estimated to have shaved around 0.3 percentage points off German GDP growth.

The risk is high that this time around, the economic impact will be larger. The low water levels at the start of August are unprecedented and fully out-of-sample when taking the Kiel paper as a proxy. Obviously, the economic impact now highly depends on the length of the current drought. A week of heavy rain could change the economic picture for the better immediately – even if this currently appears unlikely to happen. Unless the German government finds a reliable rainmaker, we should prepare to see a repetition of 2018 with a negative impact of at least 0.3 percentage points of GDP growth. This comes as a big setback given that the German economy has grown for three quarters in a row and was on track to reach annual GDP growth of some 0.8% this year. A blow to the recovery but not enough to ignite recession fears.

In any case, the negative economic impact will probably make my next outing less enjoyable. Or perhaps not. I may simply find myself humming R.E.M.'s *It's the End of the World as We Know It (And I Feel Fine)*.

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Article | 4 August 2026

TMT

Webinar: The AI race – who will fund and fuel the next wave?

AI is becoming one of the biggest investment, infrastructure and energy stories of our time. Join us to explore how the AI boom is being financed, what investors are watching, and whether power systems can keep pace with soaring demand. [Sign up here](#)



AI is no longer just a technology story. As investment and power needs surge, it has become a capital markets, infrastructure and energy story, too. The race to build AI capabilities is driving unprecedented spending on data centres, compute capacity and power infrastructure. This raises important questions for investors, policymakers and industry leaders.

In this webinar, we will explore how AI expansion is being financed, how investors are assessing the opportunity, and how energy systems can keep pace with growing demand.

You'll learn:

- Why accelerating data centre investment can remain sustainable
- What investors are watching across the largest technology companies
- How AI is reshaping capital markets and financing needs
- How data centres are transforming energy systems and local economies
- How power infrastructure can keep pace — and at what cost

[Click here to sign up](#)

Details

Date: Thursday 13 August

Time: 1400 BST/1500 CEST/0900 ET

The webinar will last 30 minutes, including Q&A.

The event will take place online and the waiting room will open 60 minutes ahead of the scheduled start time.

A joining link will be emailed following registration, and you will receive a reminder email 10 minutes before the scheduled start time.

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Article | 11 August 2026

COMMODITIES DAILY

The Commodities Feed: Oil higher as US-Iran deal hopes fade

Oil prices are trading stronger as optimism over a US-Iran deal fades, leaving the market to reprice ongoing supply disruptions



Energy - Middle distillate tightness concerns grow

By this point, you'd think markets would be largely immune to headlines about a US-Iran deal. The pattern keeps repeating — initial enthusiasm when negotiations appear promising, only for that optimism to dissipate just as quickly. Yet the oil market remains very headline-driven, which leaves prices whipsawing. The latest bout of optimism is quickly fading, with demands for war reparations from Iran, which President Trump rejected. Trump instead insists that Iran pay reparations for the deaths of US soldiers as well as Iranian civilians over the last few decades. Current rhetoric suggests any potential deal is still some way off, meaning risks remain skewed to the upside for oil prices.

Oil continues to move through the Strait of Hormuz even as disruptions persist, underscoring the market's ability to keep flows moving despite periodic turbulence. According to reports, Iraq's state oil marketing company said oil shipments are around 2m b/d in August. If this is the case, a number of vessels would be navigating the strait with transponders turned off, given that observed tanker crossings are minimal. Prior to the war, Iraq was exporting around 3.4m b/d of oil through the Strait of Hormuz.

Middle distillates saw renewed strength yesterday, with the ICE gasoil crack surging above \$70/bbl at one stage, after further Houthi attacks on the 400k b/d Jazan refinery in Saudi

Arabia. The refinery had already suspended operations due to a previous attack. The latest incident will reportedly see the refinery restart operations at the end of August. This will clearly only add to supply concerns for refined product markets, particularly middle distillates. The outlook for gasoil will depend largely on how events in the Middle East and Russia play out. With tight stocks heading into the Northern hemisphere winter, it's clear that gasoil cracks will remain at seasonally elevated levels.

Fading optimism over a potential deal between the US and Iran has also seen European natural gas prices surge higher once again. TTF settled more than 9% higher yesterday, taking it back above EUR60/MWh. Every day that goes by without a resumption of Persian Gulf LNG flows leaves the market more vulnerable as we head closer towards the 2026/27 heating season. The state of storage in Europe is becoming a bigger worry. Gas storage is now below 2021 levels both in terms of percentage full and in absolute terms. The EU's lower storage target of 75% ahead of the winter is looking as though it will be tough to hit. This will leave the market vulnerable to price spikes through the heating season.

Agriculture – Supply tightness lifts sugar to 10-month high

Sugar prices remained near their highest level since October 2025, following their largest weekly gain since 2024 — supported by tightening global supply conditions. Europe's sugar production is expected to decline to a multi-year low, while potential El Niño-related disruptions to cane production in India and Thailand continue to bolster market sentiment. Speculators reduced their net short position by 34,599 lots to 77,814 lots, driven primarily by short covering. Gross short positions declined by 19,413 lots to 274,809 lots.

Favourable weather conditions in the Ivory Coast are helping cocoa farmers prepare plantations ahead of next month's main harvest. Meanwhile, rainfall has returned to Cameroon and Nigeria, improving crop conditions and supporting fresh flowering. This is despite some losses of young flowers and pods. In Ghana, favourable weather has supported crop development throughout the season. Limited sunshine is beginning to raise concerns over the spread of black pod disease.

First estimates from Ukraine's Agriculture Ministry show that grain exports could decline to 38mt—40mt in the 2026/27 marketing season, down about 12% from an earlier projection of 43mt. The revision is largely attributed to persistent Russian attacks on Odesa's port infrastructure and disruptions to Black Sea shipping routes.

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Article | 10 August 2026

FX

Low dollar hedge ratios: could lightning strike twice?

Since last year's 'Liberation Day' collapse of the dollar, there has been a lot of focus on dollar hedge ratios. Low levels of dollar hedging heading into that April 2025 tariff announcement were widely seen as contributing to the sharp dollar sell-off. Data suggests those hedge levels are getting very low again



Everyone loves the dollar

US President Trump's decision to launch a military assault on Iran at the end of February triggered widespread dollar buying. This was largely a function of the energy story, where the 'haves' – the US – were rewarded at the expense of the 'have-nots' – Europe and Asia. The dollar received a second fillip in June when it looked like new Fed Chair, Kevin Warsh, was about to restore the Fed's inflation-fighting credibility with a rate hike.

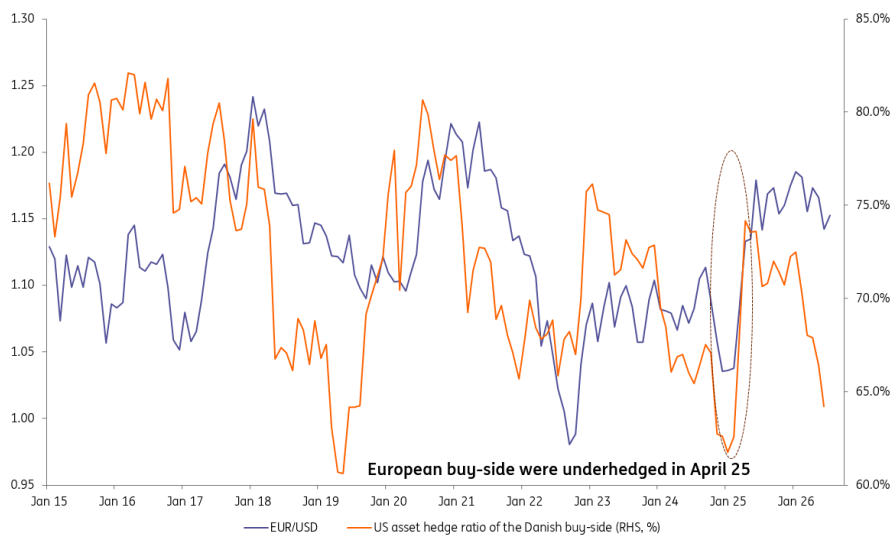
That summer optimism on the dollar looks to have carried through to the buy-side, where some estimates suggest that European FX hedge ratios on US investments have been cut back to their lowest levels since February 2025.

The data we show in the chart below comes from the Danish central bank and marks the FX

hedge ratios from Denmark's insurance and pension fund industry. We appreciate this is just a snapshot of a very broad European buy-side, but the data did capture the events of March/April 2025 pretty well. Back then, the Danish buy-side went into 'Liberation Day' tariffs with hedge ratios on US investments at 63%, only to rush them up to 74% by the end of April.

As of the end of June this year, these hedge ratios have been cut back to 64% – presumably on the conviction view that most roads lead to a firmer dollar.

European buy-side US hedge ratios fall again



Source: Danish Central Bank, Refinitiv

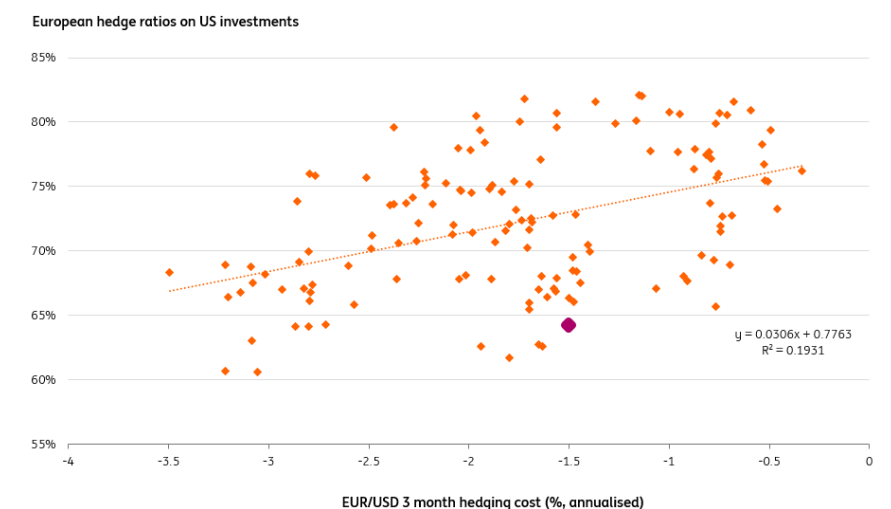
European buyside looks underhedged

But looking at this data, it seems fair to describe the European buy-side as 'underhedged' when it comes to its US investments. While not as statistically significant as it could be, data since 2015 suggests that if hedge ratios were merely a function of hedging costs, European hedge ratios on US investments should be a lot higher. Current (relatively cheap) hedging costs of 1.5% per annum using the three-month EUR/USD forward would be more associated with a 73% hedge ratio rather than the 64% seen in the latest data in June.

This begs the question whether lightning will strike twice and some, presumably US-centric event, will trigger another dramatic European increase in dollar hedge ratios and a sharp dollar sell-off? We have no particular insights into the triggers here, but do note that the prediction market, Polymarket, currently attaches a 30% probability that President Trump declares a national emergency by the end of this year in response to interference in US elections or election processes. The reference here is clearly to the US midterm elections, which take place on 3 November. The FX option market has already marked this as a potentially big day, with volatility priced at 150% of a normal trading day.

None of the above is in our baseline FX forecasts, but low dollar hedge ratios are helpful to our [EUR/USD 1.18 end-year forecast](#) – a forecast largely premised on unchanged Fed policy this year.

US hedge ratios versus EUR/USD hedging costs



Source: Danish Central Bank, ING

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Article | 10 August 2026

COMMODITIES DAILY

The Commodities Feed: Oil higher as supply risks persist

Oil prices remain supported by ongoing uncertainty around the Strait of Hormuz. Meanwhile, speculative sentiment has turned more cautious, with money managers reducing net long positions in both NYMEX WTI and ICE Brent



Oil prices are holding firm on continued Strait of Hormuz uncertainty

Energy – US-Iran negotiations continue

Oil prices remain supported by uncertainty surrounding the Strait of Hormuz. While US President Donald Trump said Washington is "semi-negotiating" with Iran, suggesting a focus on economic pressure rather than military escalation, significant hurdles remain before any broader agreement is reached. Reports indicate that Iran and Oman are nearing an agreement on a shipping route through Hormuz, though a full reopening of the waterway is still likely to depend on progress in US-Iran talks.

Speculative sentiment turned more cautious last week. Money managers cut net long positions in NYMEX WTI by 7,257 lots to 101,050 lots, while net longs in ICE Brent fell by 20,361 lots to 164,722 lots, marking a second consecutive weekly decline.

US oil activity has continued to recover, with Baker Hughes data showing that the oil rig count

rose by three to 454, the highest level since May 2025. Meanwhile, US crude exports remain elevated as buyers seek alternative supply sources, although much of the recent increase has been supported by inventory drawdowns rather than stronger production growth.

In gas markets, Henry Hub extended gains for a second session, supported by forecasts for warmer weather, stronger power-sector demand and higher LNG feedgas flows. Additional support came from reports that new processing capacity at the Corpus Christi LNG terminal could boost feedgas demand by around 0.8bcf/d.

Metals – China's central bank buys more gold

Gold extended its rally last week after the People's Bank of China increased its gold reserves by 640koz (around 20 tonnes), the largest monthly addition since October 2023. Official reserves have now risen for 21 consecutive months as China continues to diversify reserves and strengthen its position in the global bullion market. Spot gold climbed above \$4,320/oz on Friday, its highest level since mid-June, supported by ongoing central bank buying and stronger Chinese investment demand through gold-backed ETFs.

In industrial metals, China's latest trade data showed continued weakness in copper imports. Unwrought copper imports fell 11.5% year-on-year to 424.6kt in July, leaving year-to-date volumes down 6.2%. Copper concentrate imports also weakened, reflecting growing pressure from tighter mine supply. In contrast, iron ore imports rose 3.3% year-on-year to 108.1mt, although lower steel margins and maintenance activity continued to weigh on demand.

On the export side, shipments of unwrought aluminium and aluminium products increased 18.6% year-on-year to 640kt as producers capitalised on supply disruptions and trade dislocations linked to the Middle East conflict. Steel exports rose 2.9% year-on-year to 10.1mt.

Speculative sentiment remained supportive across metals. Money managers raised net long positions in COMEX copper by 11,306 lots to 77,796 lots, the highest since February 2021, as tight physical markets and low inventories supported prices. In precious metals, managed money increased net long positions in COMEX gold to the highest level since January, while net longs in COMEX silver rose for the first time in five weeks.

Agriculture – Wheat extends rally amid Black Sea trade uncertainty

Grain markets strengthened at the start of the week, with CBOT wheat rising around 2% as renewed concerns over Black Sea exports resurfaced. Turkey briefly suspended vessel transit through the Black Sea over the weekend due to heightened security risks linked to the Russia-Ukraine conflict, although traffic has since resumed.

Supply concerns were reinforced by sharply lower Ukrainian export forecasts. Ukraine's

Agriculture Ministry now expects grain exports of 29.6mt in 2026/27, down from an earlier estimate of 64.4mt, with wheat exports cut to 8.3mt from 17.6mt. Storage capacity is also becoming a growing issue, with available grain and oilseed storage reportedly at risk of being exhausted by October.

Elsewhere, French grain production is expected to weaken in the 2026/27 season. Total grain output is forecast to fall 5.2% year-on-year to 46.1mt, driven by lower wheat and corn production amid drought and adverse weather conditions. French corn output is expected to drop to its lowest level since 1980.

Positioning data showed mixed sentiment across agricultural markets. Money managers increased their net short position in CBOT wheat by 16,906 lots to 23,786 lots, reflecting continued bearish sentiment despite recent price gains. In contrast, speculative net longs in CBOT corn increased by 13,547 lots to 181,946 lots, while net longs in soybeans fell by 29,535 lots to 125,466 lots after four consecutive weeks of gains.

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Article | 10 August 2026

FX

FX Daily: One test down, four to go

Friday's weak payrolls report delivered the first dovish signal in our five-test countdown to the September FOMC. Wednesday's CPI is the next test; we expect a 0.1% MoM headline print to help the dovish case a bit further, keeping USD downside risks dominant. Good news for the yen, which is struggling with post-intervention short rebuilding



Wednesday's CPI release is set to provide the second of five tests to our call for no Federal Reserve rate hikes this year

We have recently published our August update of FX views and forecasts: [FX Talking: Caught between war and Warsh](#)

➔ USD: Plenty of dovish repricing can still happen

At the start of August, our call for no Federal Reserve hikes this year was set to face five major tests before the 16 September FOMC: two jobs reports, two CPI reports and Jackson Hole. Our feeling was that if those events failed to trigger a dovish shift in market expectations, pricing a September hike above 50% could itself have materially increased the risk of a hike, if only to avoid another bond sell-off on meeting day.

The first test arrived on Friday and came through clearly dovish and dollar-negative. [As James Knightley notes](#), the -20k payroll print was not the only concern. More than 100k of downward revisions leave average payroll growth at just 20k over the past three months, with health and

social care still doing most of the heavy lifting. Meanwhile, the fall in the unemployment rate was largely driven by people leaving the labour force rather than finding work.

We expect the second test, Wednesday's July CPI release, to send a similar, albeit less dramatic, message. Our forecast is for headline CPI at 0.1% month-on-month versus 0.2% consensus, and core CPI at 0.2%, in line with consensus.

Our dovish Fed call is strengthening, and so is our bearish bias on the dollar. Despite Friday's repricing, 11bp are still priced in for September, 28bp for December and 40bp for April. There remains ample room for dovish repricing to harm the dollar if we are right about the Fed. Today, the US calendar is empty, but we'll hear from Fed arch-hawk Beth Hammack.

The yen should, in theory, remain one of the main beneficiaries of dovish US surprises given its high sensitivity to rates. The problem is the seemingly inevitable bias to rebuild JPY shorts after an intervention episode. Neither intervention risk nor growing confidence in a September Bank of Japan hike – with this morning's minutes modestly more hawkish – appears sufficient to counter that trend. USD/JPY has already returned to the pre-payroll 158.30-158.50 area. The path ahead may remain choppy. A move back to 160.0 at some point this month remains a tangible risk, even if September ends up delivering both a BoJ hike and a Fed hold.

Francesco Pesole

➔ **EUR: Potential break above 1.160 this week**

The euro is entering a particularly quiet stretch for domestic drivers. The key July data releases are behind us, while August is typically a quiet month for European Central Bank communication. In any case, the ECB has already given markets a quasi-commitment to a September hike.

That leaves EUR/USD firmly dominated by the USD side of the equation. A softer US CPI print would increase the chances of a break above 1.160 already this week. The next important resistance beyond that is the 200-day moving average at 1.1630.

Our short-term fair value models are offering little direction at present, with EUR/USD broadly tracking moves in rates, equities and commodities. Short-term rate differentials have continued to grow as the main driver for EUR/USD (we discussed this [in our latest live webinar](#) last week), meaning sensitivity to the Fed story should remain very elevated.

Francesco Pesole

⬆️ **RON: Rating relief but inflation keeps NBR cautious**

Moody's kept Romania's rating at Baa3 with a negative outlook, following Fitch's unchanged decision a week earlier. This should offer some relief after ROMGBs sold off by around 15bp at

the long end last week, even as the rest of the region rallied. Today, the National Bank of Romania is expected to keep rates unchanged at 6.50%, and we see little reason for a shift in tone versus previous meetings, with our forecast still pointing to the first rate cut only in January 2027.

The more important release will be Wednesday's Romanian headline inflation, where we expect the first visible easing, with inflation falling from 10.4% to 7.6% year-on-year. Still, the decline is largely base-effect driven, while month-on-month dynamics accelerated from June. Friday's 2Q GDP data should point to only marginal growth of 0.1% quarter-on-quarter after stagnation in 1Q, alongside a year-on-year contraction across the first half of the year. EUR/RON remains anchored just below 5.25, and we expect limited movement given the NBR's lack of room to tolerate additional inflation pressure. However, relief over the unchanged rating could support a RON rally today as buyers and carry trades return to the market.

Frantisek Taborsky

📌 CEE: Busy data week meets global market pressure

Outside Romania's busy calendar, the rest of the CEE week brings final Czech inflation on Tuesday, with headline CPI expected to be confirmed at 1.7% and the focus on core inflation, which we see unchanged around 2.8-2.9%.

On Thursday, Turkey's central bank will publish its inflation report, while Poland will release final CPI, likely confirming 3.0%, alongside 2Q GDP. We estimate Polish GDP growth accelerated to 3.8% YoY from 3.5% YoY in 1Q26, despite a further slowdown in private consumption, as investment growth gained momentum. Friday's Polish core inflation should edge up from 3.0% to 3.1% YoY.

CEE markets remain mainly driven by global headlines. With no progress in US-Iran talks over the weekend, we expect a mixed open, especially after Friday's regional rates rally following US jobs data. Higher oil prices could trigger some correction, while last week's narrowing in rate differentials may put pressure on CEE currencies this morning. EUR/CZK remains in focus after closing above 24.250 on Friday, in line with our post-Czech National Bank meeting call, though we still see upside risk closer to 24.300.

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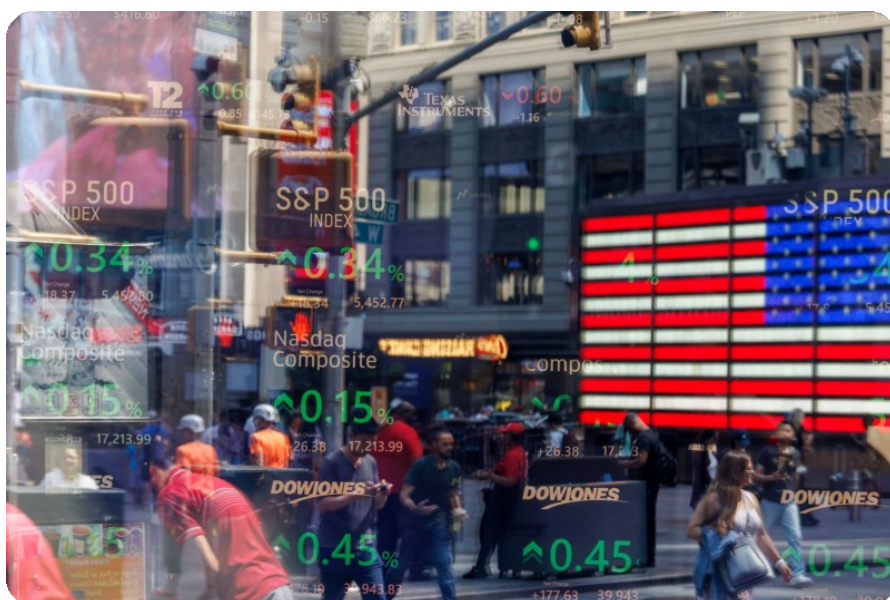
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Article | 10 August 2026

RATES

Rates Spark: Geopolitics in focus ahead of US CPI

Rates remain range-bound as markets watch geopolitics and await Wednesday's key US CPI print. Softer inflation could pull yields lower, while Bunds offer a limited geopolitical hedge; Gilts look too high but are hard to trade amid oil volatility



All eyes are on this Wednesday's US CPI release following last week's poor payroll numbers

Everything hinges on two more US CPI readings

US rates ended last week with a dovish aftertaste on the back of poor payroll numbers, but the CPI figure this week should be more instrumental. Until September's Federal Reserve meeting, we only have two more CPI readings. And markets still need to make up their minds about the next Fed move, with now around 40% of a hike priced in. Arguably, the eventual price action after the negative payrolls numbers was quite limited given the disappointing figures, suggesting the focus is on inflation.

A benign CPI could help ease fears about Fed Chair Kevin Warsh turning the central bank overly dovish, which should also bring longer rates lower too. Having said that, long-term inflation expectations as measured from 5Y5Y forward inflation swaps look very benign. In fact, the trading range is well below the average in 2025 – and while oil prices have risen significantly since. Real rates are therefore the main culprit behind higher UST yields. Having said that,

softer inflation numbers can also spill over to lower real rates. Falling inflation would imply that the neutral rate might be lower than the 4% currently priced in by markets.

Bunds are not the place to hide against geopolitical risks

The 10Y Bund yield seems comfortable in the 3.1% to 3.2% trading range, and unless oil makes a big move from here, we doubt we will see much movement. Despite plenty of geopolitical uncertainty ahead, Bunds don't show any signs of safe haven demand. Only at the very start of the Iran conflict in March did we observe a more noticeable outperformance of Bunds versus swaps, but those dynamics haven't been seen recently. Part of this might also be explained by strong market sentiment in risk assets. And with stock-bond correlations in positive territory, holding longer-dated rates does not provide a trustworthy hedge against adversaries. If anything, an improving growth outlook actually poses more upside risk to euro rates.

Gilt yields too high, but impossible to trade amid oil volatility

The 10Y Gilt yield also seems to stay range-bound, oscillating around 4.8% and 5.0% for most of the past few months, but we take a more bullish view on sterling rates. Markets are still pricing in almost two rate hikes from the Bank of England. What's more remarkable is that thereafter the curve doesn't price in a material easing cycle. The 2Y1Y forward is at 4.25%, suggesting an estimated neutral rate far above the US. But given that the UK's potential growth is materially lower, we don't think such numbers are justified. Unfortunately, trading this remains challenging, since any move in oil prices can quickly turn any dovish position into a loss.

Monday's events and market view

The data calendar holds little of note at the start of the week, leaving the focus squarely on geopolitical developments. Some headlines suggested a deal to reopen the Strait of Hormuz was close, but the overall reporting from the region points to a still fragile de-escalation path, with Brent oil briefly nearing US\$85/bbl overnight.

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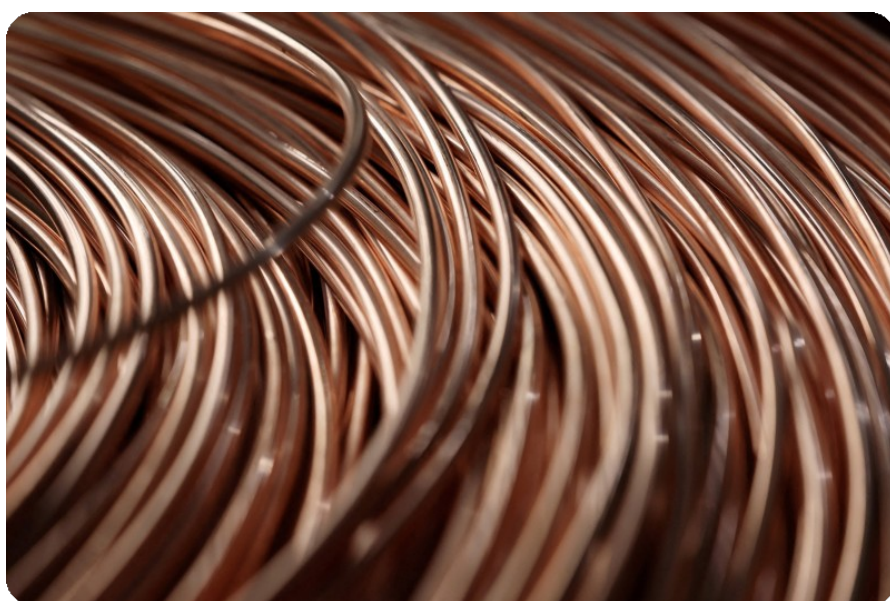
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Article | 7 August 2026

COMMODITIES, FOOD & AGRI

Could copper lose its tariff premium?

Copper has rallied sharply on expectations of US import tariffs, as traders rush metal into the US and physical markets tighten. With prices back near record highs, any policy disappointment could put that tariff premium to the test



Monthly US copper imports surged to a 12-year high of more than 200,000 tonnes in July ahead of potential tariffs

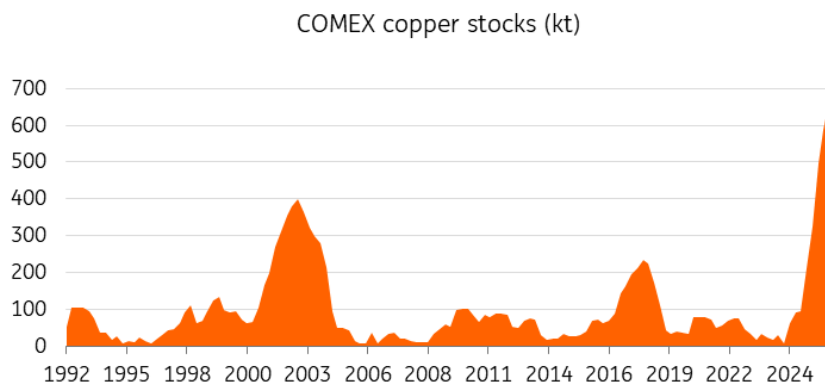
Copper is trading above \$14,000/t, close to its record high. At the same time, LME inventories have fallen further, and the cash-to-three-month spread has moved deeper into backwardation, highlighting increasingly tight physical market conditions.

In our June note, [What's next for US copper import tariffs?](#), we examined the possible policy outcomes. Since then, traders have continued to position for potential tariffs, with the impact becoming increasingly visible in trade flows, inventories and physical market indicators.

Tariff expectations remain a key market driver

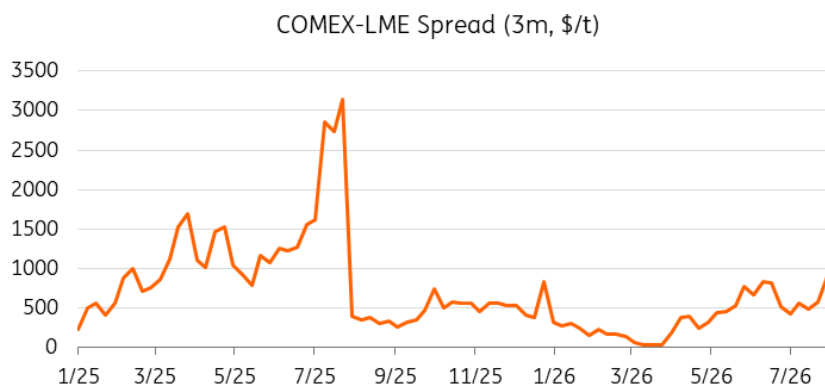
Copper shipments into the US have accelerated ahead of a potential tariff decision, pushing COMEX inventories to a record high. US copper imports exceeded 200,000 tonnes in July alone – the highest monthly level in at least 12 years.

COMEX inventories reach record highs



Source: COMEX, ING Research

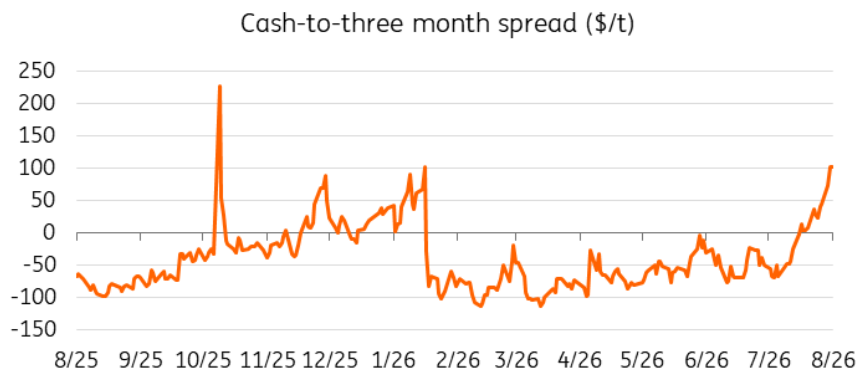
Wide COMEX-LME spread continues to attract copper into the US



Source: COMEX, LME, ING Research

At the same time, the London copper market is showing increasing signs of tightness. LME inventories have fallen to a five-month low, while the cash-to-three-month spread has widened to around \$120/t backwardation – up from about \$40 a week ago and the widest since October, pointing to a squeeze on short-term supplies.

Nearby copper market tightens



Source: LME, ING Research

LME inventories continue to decline



Source: LME, ING Research

Can tariff expectations continue to drive prices?

The recent rally is not solely tariff-driven, however.

Mine supply growth remains constrained, while low treatment charges continue to point to tight concentrate availability. Demand linked to electrification, power grid investment and AI infrastructure also remains supportive. We continue to expect the global refined copper market to record a deficit of around 35k tonnes in 2026.

Much of the recent rally reflects expectations that tariffs will be implemented broadly as expected. But if the final measures are delayed, narrower than expected or exempt refined copper, part of the recent rally could unwind. Stockpiling into the US would slow, inventory flows would begin to normalise, and some of the current tightness outside the US would ease. Any correction could be amplified if investors unwind positions built on tariff expectations.

The tariff decision is only part of the story

The prospect of US tariffs has already reshaped the copper market. Inventory flows have shifted, physical conditions have tightened, and prices have moved back towards record highs.

Much of that repricing has already happened. Once the tariff decision is announced, the market's focus is likely to shift back to underlying fundamentals.

That would not necessarily change the broader outlook for copper. Any correction would be more likely to reflect a reassessment of tariff expectations than a deterioration in the underlying fundamentals.

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